bestoasis

Recycling with the Best

Weekly Ship Recycling Report

01 February - 07 February 2025

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Highlights of the week

This week, the ship recycling market remained slow and uncertain, with all four major destinations—India, Bangladesh, Pakistan, and Türkiye—struggling to gain momentum. In India, recyclers had pinned their hopes on the Union Budget 2025-26, but with no action against cheap steel imports, domestic scrap prices stayed under pressure. Tonnage availability was low, and the rising dollar made transactions more challenging, dampening market confidence. Bangladesh saw recyclers pushing for lower prices, but sellers held firm, unwilling to meet these levels. This price standoff kept the market subdued, with no clear direction. Pakistan remained mostly unchanged, though recyclers expect an increase in available tonnage in the coming months, which could push prices lower. Some sales took place, but concerns over price stability and competition from Iranian imports kept the market cautious. Türkiye, meanwhile, continued to face weak demand and little movement, leaving recyclers waiting for signs of improvement. Across all major destinations, the market remains in a state of caution and uncertainty. Buyers are hesitant, sellers are holding their ground, and external pressures continue to weigh on sentiment. For now, the industry is in a wait-and-watch mode, hoping for a shift but bracing for further challenges.

The U.S. tariffs on Mexico, Canada, and China set off a ripple effect, with trade partners hitting back with their own tariffs. Businesses relying on steel, aluminum, and international supply chains saw costs climb, forcing them to raise prices, cut production, or find new suppliers. Industries like automotive, construction, and technology felt the strain as trade routes shifted and supply chains grew more complicated. With rising uncertainty, companies held back on investments, and economic growth started to slow. If these trade tensions drag on, they won't just shake up global commerce; rather, they'll force industries to rethink how they operate, adapt to new realities, or risk falling behind in a rapidly changing world.

Exchange Rates:

USD / INR ₹

This Week	: 87.53
Previous Week	: 86.62
Lost	: 0.91

USD / BDT ৳

This Week	: 121.84
Previous Week	: 121.97
Gained	: 0.13

USD / PKR Rs

This Week	: 279.02
Previous Week	: 278.90
Lost	: 0.12

USD / TRY ₺

This Week	: 35.97
Previous Week	: 35.86
Lost	: 0.11

India

Market weakness deepens amid rising dollar and budget disappointment.

- This week, the market remained weak, with low activity and scarce tonnage. The rising dollar added financial pressure, making deals harder and weakening confidence. Uncertainty persists, keeping sentiment cautious.

- The Union Budget 2025-26 was announced this week, and while the industry anticipated measures to curb cheap steel imports, no such relief was provided, allowing continued pressure on domestic scrap prices.

- However, the budget addressed other aspects of the maritime sector, including a ₹25,000 crore (2.87 billion USD) Maritime Development Fund to support shipbuilding, the development of shipbuilding clusters to enhance infrastructure and capacity, and an extension of customs duty exemptions on shipbuilding and ship recycling materials for another 10 years.

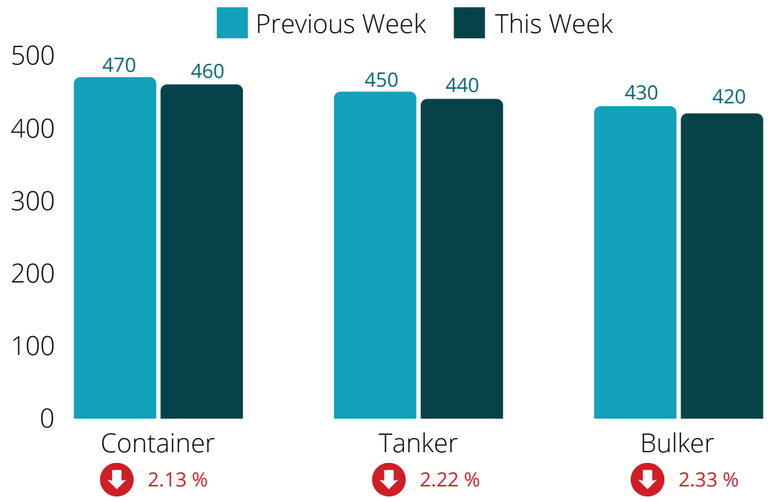
Beaching Dates

10 February to 16 February

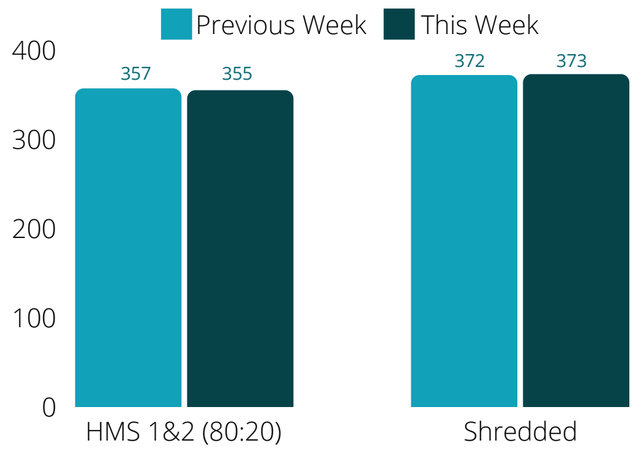
26 February to 05 March

13 March to 18 March

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded

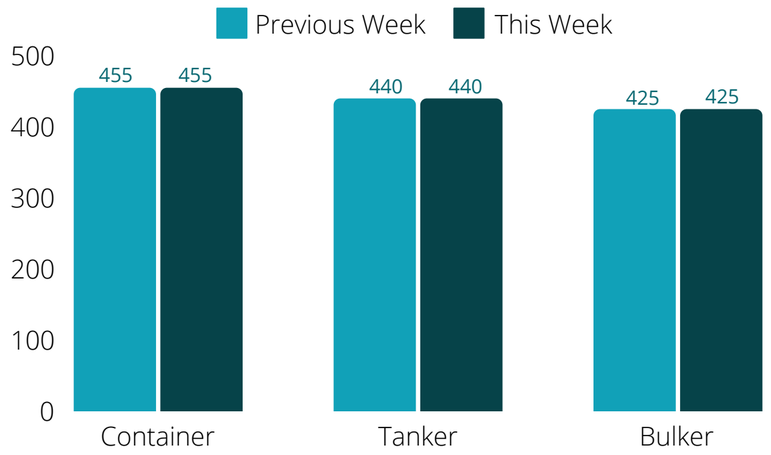


Bangladesh

Slow market activity and cautious buying amid regulatory updates.

- The market activity remains slow with no aggressive movement, similar to the previous week.
- Recyclers are aiming to acquire vessels at more favorable levels, but vessel owners are holding firm for higher levels and are reluctant to accept lower offers.
- The deadline to obtain the NOC has been extended to March 31, 2025. Facilities that have already received approval must complete all necessary preparations by June 25, 2025, and achieve full compliance with HKC standards by June 26, 2025.

Price for Recycling Ships in Bangladesh



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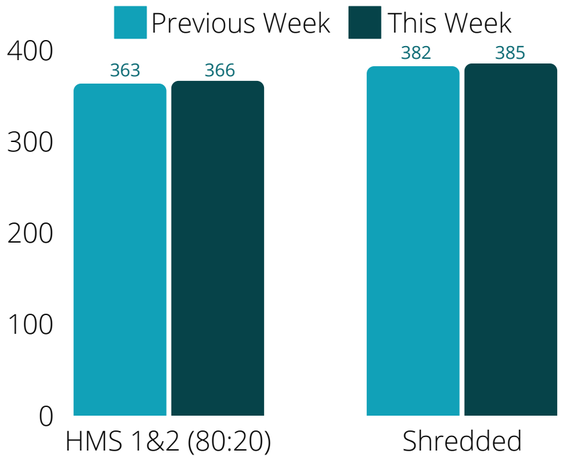


Beaching Dates

14 February to 17 February

28 February to 03 March

14 March to 17 March

Pakistan

The market remains flat with cautious sentiment and price uncertainty.

- The market remains unchanged, with no significant shifts in activity. Recyclers are expecting more vessels to become available from March to April, which they believe will lead to a drop in prices below the 400 level.

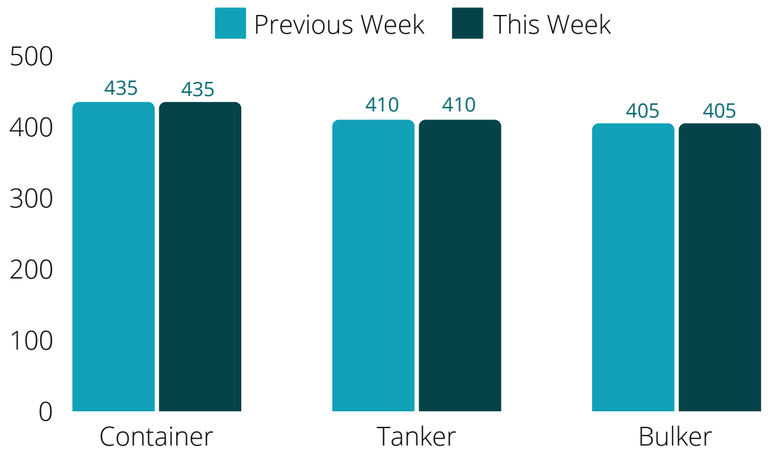
- Meanwhile, local prices remain the same, but imports from Iran are impacting the local market.

- Pakistan's external financing needs will remain high in FY 2025 despite forex reserve gains, Fitch Ratings stated. The country must repay USD 22 billion, including USD 13 billion in bilateral deposits, amid challenges in securing funds due to large maturities and lender exposure. Last month, Pakistan secured a USD 1 billion loan from two Middle Eastern banks at 6-7% interest.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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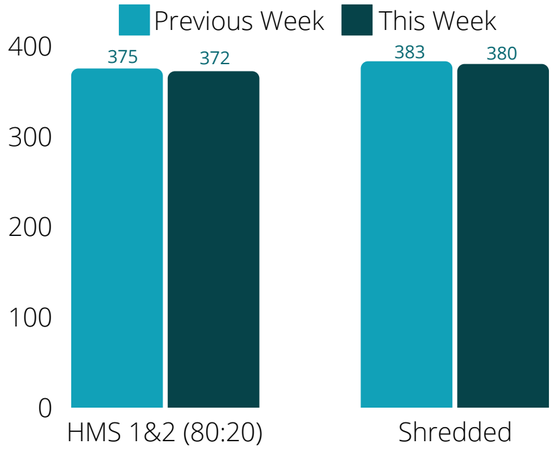


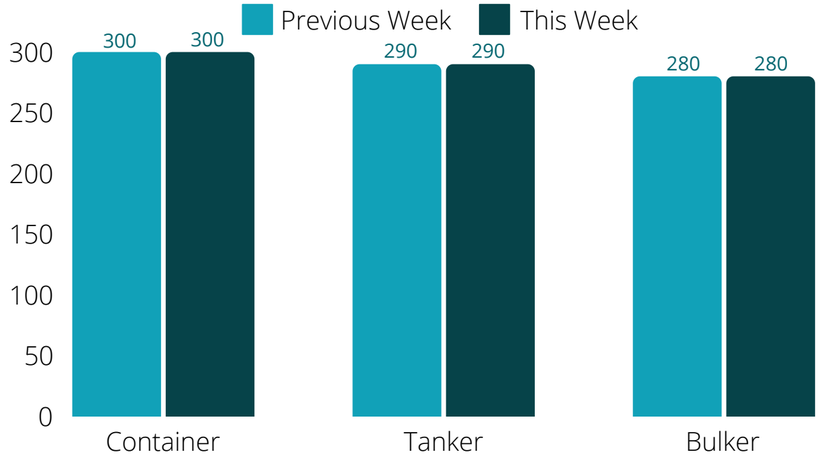
Türkiye

The market sentiment is weak as demand stays low and activity stagnates.

- The sentiment remains weak, with demand still low and no significant improvement in market activity.

- Türkiye's ferrous scrap imports rose 6.7% in 2024 to 20.09 million tons, with the U.S., Netherlands, and UK as key suppliers. Meanwhile, rebar exports dropped by 1%. The Turkish Steel Producers Association (TCUD) warns that upcoming EU scrap export restrictions under CBAM could disrupt supply and urges dialogue with the EU to protect the circular economy.

Price for Recycling Ships in Türkiye



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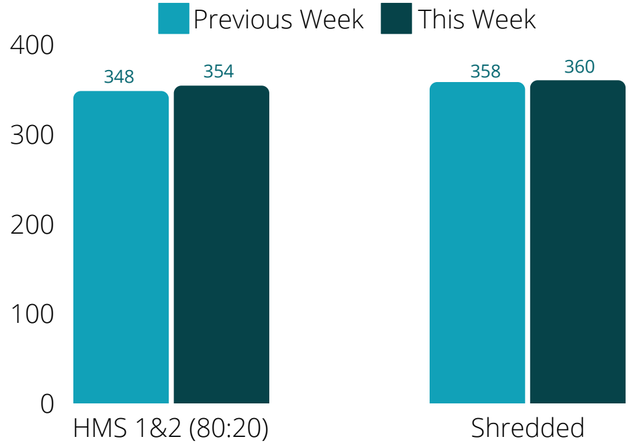
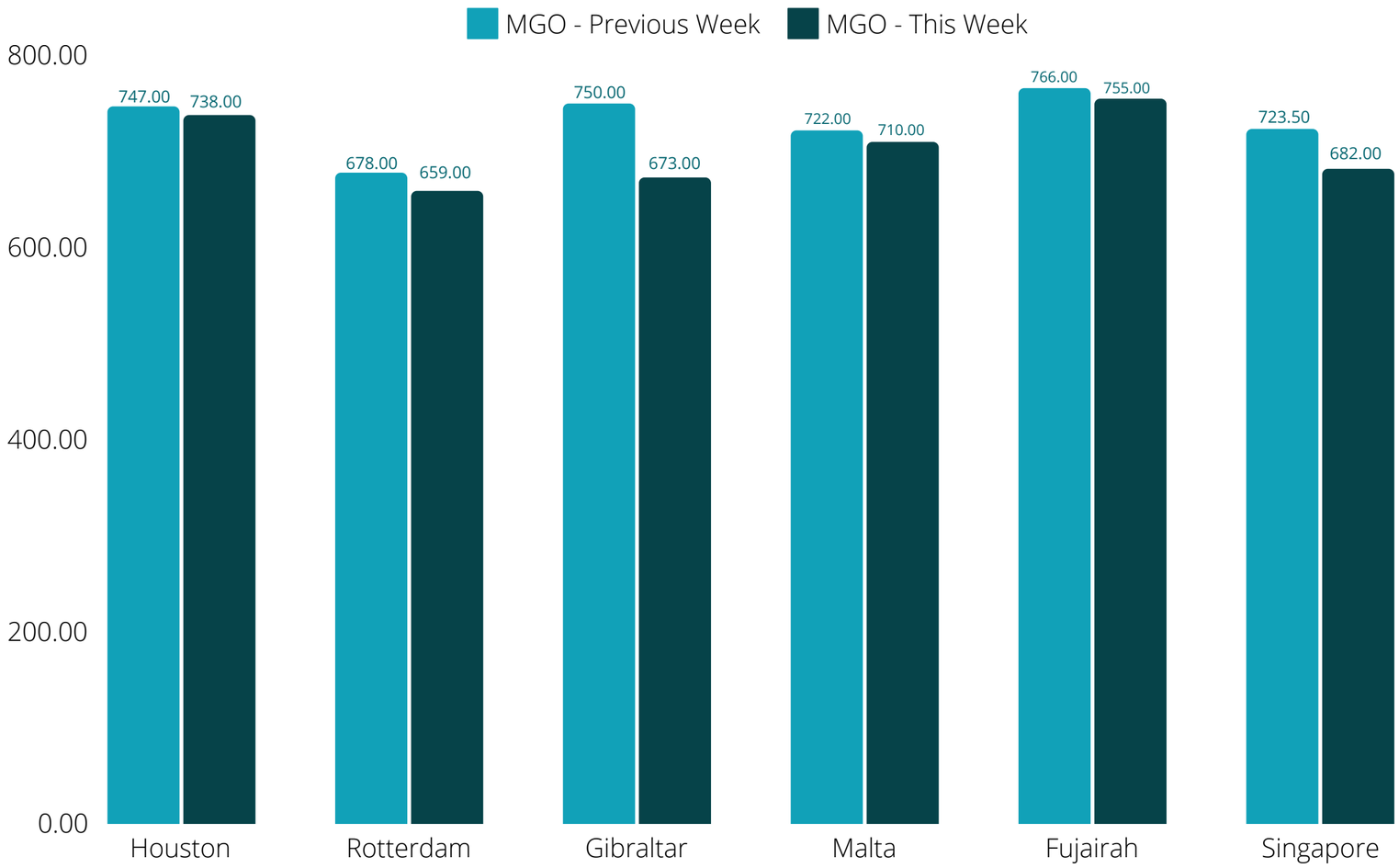


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 74.68
Previous Week	: 75.74
Movement	: - 1.06

WTI Crude

This Week	: 71.00
Previous Week	: 72.61
Movement	: - 1.61

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MILLENNIUM LEADER	GENERAL CARGO SHIP	9141211	1996	JAPAN	4,493.00	AS-IS	SINGAPORE	420
ALEK	GENERAL CARGO SHIP	8720979	1988	USSR	3,090.00	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
ZENITH	CONTAINER	9101651	1995	SOUTH KOREA	3,826.00	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
TALENT BLU	BULKER	9467902	2008	CHINA	3,588.90	DELIVERED	ALANG, INDIA	464.50 (WITH BUNKER ROB) (FO: 140 TONS, MGO: 15 TONS)

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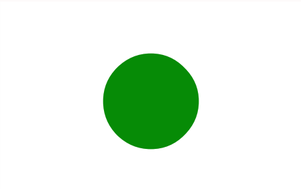

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